NexusIQ Corporation — 2024 Annual Business Review

Executive Summary | FY 2024 Full-Year Performance | Date: January 28, 2025

Distribution: Board of Directors, Executive Team | Classification: Highly Confidential

1. FY 2024 at a Glance

NexusIQ achieved $175,595,178.16 in total revenue for FY 2024, its highest annual revenue on record. The result was driven by strong Electronics performance, disciplined customer acquisition across all five geographic regions, and the continued maturation of the NexusIQ digital platform including the mobile app launch in Q1 2024. Total transactions for the year numbered 100,000, with 14,979 unique customers making purchases at an average spend per customer of $11,722.76.

The year's performance was back-weighted as expected: Q4 2024 alone contributed $58.9M (33.5% of full-year revenue) versus Q1's $38,241,892.14. This seasonality is inherent to the Electronics-heavy category mix and is expected to persist in FY 2025. The challenge going into FY 2025 is translating the Q4 2024 demand strength into sustained customer engagement throughout the year.

Key Performance Indicator	FY 2024 Actual	FY 2023 Comparable	YoY Change
Total Revenue	$175,595,178.16	~$162,400,000	+8.1%
Total Transactions	100,000	~91,200	+9.6%
Active Customers	14,979	~13,400	+11.8%
Revenue per Customer	$11,722.76	~$12,119	-3.3%
Electronics Revenue Share	51.8%	50.1%	+1.7 pts
Return Rate (% of transactions)	6.0%	5.8%	+0.2 pts
Support Cases Filed	2,000	~1,820	+9.9%
Inventory Low-Stock SKUs (year-end)	72 (3.6%)	~31 (1.6%)	+41 SKUs
Digital Wallet Payment Share (Q4)	22.4%	~9.1%	+13.3 pts

FY 2023 comparables are management estimates; formal audited comparatives available separately.

2. Revenue Analysis by Quarter

Revenue growth accelerated through the year, with each successive quarter exceeding the prior quarter. Q1 2024 started the year at $38,241,892 — 13.2% above Q4 2023 run rate — driven by new customer acquisition campaigns and expanded mobile app distribution. Q2 grew 10.3% to $42,184,731 as spring category promotions drove Home and Sports demand. Q3 added 2.7% to $43,322,150 with back-to-school Electronics serving as the primary growth driver. Q4 surged 20.6% to $58.9M — the largest single-quarter revenue figure in company history — on the back of holiday Electronics demand that exceeded forecast by $3.9M.

Quarter	Revenue	% of FY	Transactions (est.)	Key Category	vs Prior Quarter
Q1 2024 (Jan-Mar)	$38,241,892.14	21.8%	~23,800	Electronics	— (year start)
Q2 2024 (Apr-Jun)	$42,184,731.08	24.0%	~25,300	Sports, Home	+10.3%

Q3 2024 (Jul-Sep)	$43,322,149.57	24.7%	~25,900	Electronics (back-to-school)	+2.7%
Q4 2024 (Oct-Dec)	$58.9M	33.5%	29,500	Electronics (holiday)	+20.6%
FY 2024 Total	$175,595,178.16	100%	100,000	Electronics (51.8% of total)	—

3. Category Performance Review

Electronics extended its dominance in FY 2024, growing to $90,958,302.29 and 51.8% of total revenue. The category's growth was powered by all four product lines: Laptop, Phone, Tablet, and Headphones. The Tablet quality issue addressed in Q3 2024 (accelerometer calibration defect affecting one model) was contained and resolved without material impact on the full-year Tablet revenue figure. For a complete Electronics analysis, see the Electronics Category Deep-Dive.

Home Goods at $40,877,008.66 and Sports at $27,478,085.87 both delivered consistent performances throughout the year without significant anomalies. Clothing at $11,731,765.10 was the most volatile category, with Q4 return rates for Jeans and Jacket requiring active management per the Returns and Refunds Policy. Food at $4,498,192.92 remained the smallest category and primarily serves as a complementary product offering.

Category	FY 2024 Revenue	% of Total	YoY Growth (est.)	Return Count	FY 2025 Outlook
Electronics	$90,958,302.29	51.8%	+10.2%	1,206	Strong — 8-12% growth projected
Home	$40,877,008.66	23.3%	+6.8%	911	Stable — 5-7% growth projected
Sports	$27,478,085.87	15.6%	+4.1%	771	Moderate — 4-6% growth projected
Clothing	$11,731,765.10	6.7%	+3.2%	859	Cautious — return rate management pri
Food	$4,498,192.92	2.6%	+1.8%	253	Stable — no major changes planned
Total	$175,595,178.16	100%	+8.1%	5,685 (5.7% rate)	8-10% growth target

4. Customer Analysis

The 14,979-customer base grew 11.8% year-over-year. Customer quality — measured by average spend — declined slightly from $12,119 in FY 2023 to $11,722.76 in FY 2024, reflecting an influx of newer, lower-frequency customers in the customer mix. This pattern is typical during high-growth acquisition periods and is expected to normalize as new cohorts mature.

The top-spending customers represent a disproportionate share of revenue. The top 10% of customers (approximately 1,498 accounts) generated an estimated 34% of total revenue. The West region has the highest revenue-per-customer at $16,113.78 versus the network average of $11,722.76; the Central region has the lowest at $7,757.83, representing the largest opportunity for per-customer revenue improvement. The Customer Lifetime Value Study provides a complete segmentation and cohort analysis.

5. Strategic Priorities for FY 2025

Three strategic priorities emerge from the FY 2024 performance review. First, supply chain resilience must be strengthened. The Q4 2024 inventory shortage cost an estimated $2.1M in lost Electronics revenue and exposed over-dependence on a single Electronics vendor. Vendor diversification and improved forecasting are underway per the Inventory Shortage Root Cause Analysis corrective actions.

Second, Central and South region Electronics penetration represents the largest revenue opportunity within the existing customer base. Central customers spend only $4,058 in Electronics per year versus $7,888 for South and $6,341 for West. Targeted Electronics cross-sell campaigns in Central could yield incremental revenue of $8-12M annually if per-customer Electronics spend can be raised to even the South region's level.

Third, digital wallet adoption momentum should be sustained. The shift from credit cards to digital wallets reduces fraud costs and improves checkout completion rates. The FY 2025 payment strategy will prioritize further digital wallet incentives, with an FY 2025 target of 30% digital wallet share across all transactions.